

All the Data Center Demand in the World, Still Not Enough Supply

Demand for data centers continues to outpace supply, with hyperscaler capex accelerating and chip volume forecasts implying GWs of capacity ahead of feasible data center delivery. Demand is not the issue, but the supply chain is. Our DC Capacity data pulls show only 8.9 GW was lit in '25, while data center demand was nearly 21.1 GW, a ~12 GW deficit, highlighting a tight DC market, and supporting a favorable backdrop for DC REITs and AI DC Developers.

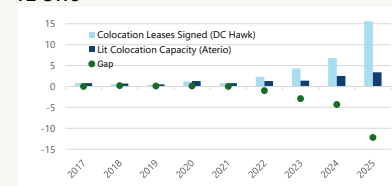
Demand Signals Are Unambiguous Across Every Metric: Hyperscaler capex is on pace for \$770B in CY26E, up 74% YoY and nearly 5x the \$156B deployed in CY23. Combined cloud backlog surged to \$2T in 1Q26, growing 3x faster than capex since CY23. Bottom-up accelerator sales volumes from our semiconductor team imply ~30 GW of global AI power demand in 2026E from GPU/XPU shipments alone, with 19 GW going to North America, nearly 2x the 10.3 GW of new capacity we expect to come online.

Six Physical Supply Constraints Set the Ceiling on Deliverable Capacity: Our proprietary DC Capacity Delivery Model calibrates supply ceilings across six constraint categories. We estimate EPC/Labor as the binding constraint in 2026E, with a ceiling of 10.4 GW. Cooling is nearly co-binding at 11.4 GW and becomes the binding constraint from 2028E onward.

Structural Undersupply Benefits Operators, Suppliers, and New Entrants Across the DC Ecosystem: With vacancy rates at 1-3% across primary markets and wholesale rents accelerating, the demand/supply imbalance continues to benefit operators, suppliers, and new entrants alike. DC REITs (DLR, EQIX, IRM) have realized meaningful growth in leasing volumes and pricing over the past several years, with rents and bookings accelerating alongside AI-driven demand. Supply chain tightness is equally favorable for equipment suppliers, where order growth continues to outpace revenue delivery across cooling, electrical, and power transformer manufacturers, with backlogs expanding at 2-4x the rate of revenue. The demand and supply imbalance is also supporting the emergence of new entrants, including those from the Bitcoin mining industry. CORZ, CIFR, HUT, RIOT, and WULF are converting existing infrastructure to serve AI/HPC workloads, leveraging energized sites and established grid connections to deliver capacity on compressed timelines that other developers, constrained by the multi-year interconnection queue and equipment lead times, struggle to match. See our initiation, [AI Data Center Developers: Fresh Faces, Same Math, for more detail on the BTC-to-HPC thesis](#).

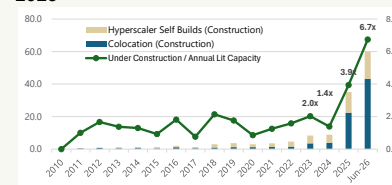
Our Data Validates the Trend; With the Data Center Industry Exiting 2025 With a 12 GW Deficit: According to Aterio's comprehensive site database, only 3.4 GW of lit data center capacity came online that were not hyperscaler self-builds in North America in 2025, against 15.6 GW of leases signed (per Data Center hawk), a 12.2 GW deficit. This gap has been growing significantly, from 2.9 GW in 2023 to 4.3 GW in 2024 and nearly tripling to 12.2 GW in 2025. From 2021 to 2025, the cumulative deficit has reached 20.4 GW of undelivered data center capacity, a trend we expect to worsen as demand continues to outpace the supply chain's ability to deliver. We expect hyperscalers to continue to commit to capacity further into the future. Currently, they tend to commit to capacity deliverable within 12-18 months, but we could see that widen to 24+ months given supply constraints.

Exhibit 4 - In 2025, Data Center Leases Signed Exceeded Actual Delivered Capacity by Over 12 GWs



Source: Aterio, Data Center Hawk, Jefferies

Exhibit 5 - Under Construction GW in North America is Over 6x the Capacity Delivered in 2025



Source: Jefferies, Aterio

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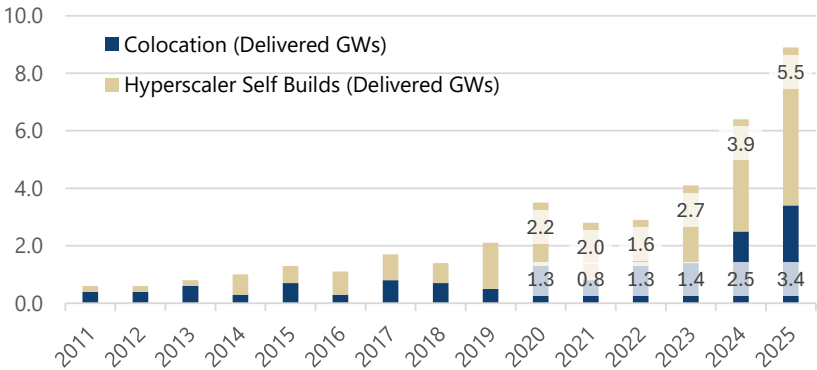
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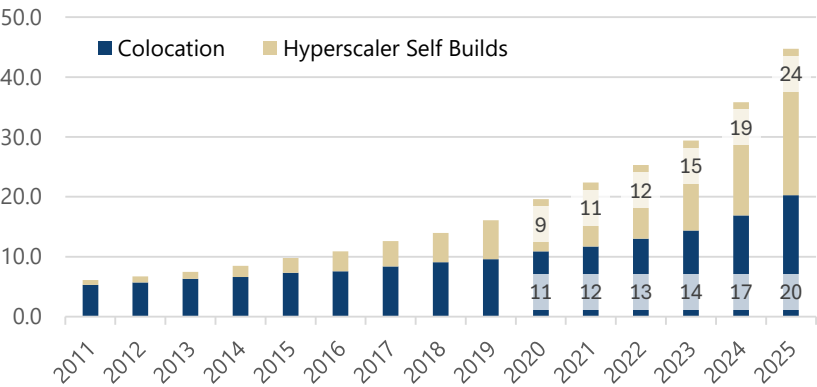
Our Top Picks to Play DC Supply Chain Tightness (see inside for more details): DLR, EQIX, CORZ, WULF, CAT, ETN, WCC, PRIM, MTZ, NI, ETR, GEV, CRDO, AMZN, CRWV, GOOGL, MSFT, MRL SM, BBOX LN, SGRO LN.

Exhibit 1 - Data Center Capacity Additions in North America (GW)



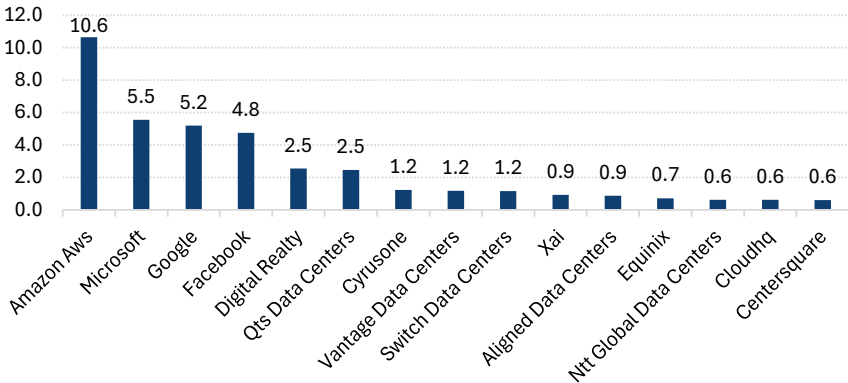
Source: Jefferies, Aterio

Exhibit 2 - Installed Data Center Capacity Total in North America (GW)



Source: Jefferies, Aterio

Exhibit 3 - Top 15 Data Center Operators/Owners in North America by Power (GW)



Source: Jefferies, Aterio

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Best Investments in a Data Center Supply Constraint World

Jon Petersen (REITs and Digital Infrastructure)

- **CORZ** is the pioneer of the BTC-to-AI data center developer movement, as the company was the first to make the pivot with a 590 MW development for CoreWeave. The company trades at a discount to peers, despite having the largest powered land bank to drive future growth.
- **DLR** is a data center REIT with a combined wholesale and enterprise Colo platform seeing meaningful demand acceleration as AI workloads scale. Enterprise Colo bookings have accelerated from roughly ~\$50M per quarter to nearly ~\$100M per quarter, with AI now representing ~33-50% of aggregate bookings and ~20% of enterprise Colo activity, up from low-teens levels last year.
- **EQIX** operates the most interconnected data center platform globally, enabling low-latency infrastructure across its ecosystem and positioning it as the natural hub for inference and edge compute. Four of the top five neocloud providers and eight of the top ten AI labs are deployed across its network.
- **WULF** is an AI data center developer that repositioned its BTC mining land sites to turn key data centers built for neoclouds and hyperscalers. Management's deep experience and legacy in the power & utilities market positions the company well to continue to procure powered land sites and build AI data centers.

Stephen Volkmann (Machinery and Industrials)

- **CAT** remains our top pick in Machinery despite upside from power gen already largely baked into estimates and consensus. We see upside in the gas cycle, which will need to come given increased demand from data centers.

Blayne Curtis (Semiconductors)

- **CRDO**: We believe AEC adoption across XPU and CPU platforms is still in its early stages, supporting durable unit growth through C28+. Ramp of the 1.6T AECs in late '26 and early '27 should provide a material ASP uplift, bolstering our above-consensus revenue forecasts. ZF Optics provides a meaningful NT revenue opportunity, expanding the addressable market and diversifying the portfolio beyond electrical.

Brent Thill (Internet Software)

- **AMZN**. We believe the stock screens as a mispriced AI/cloud/retail compounder, with AWS positioned to reaccelerate as AI capacity comes online, backlog converts to revenue, and Anthropic/OpenAI-related demand scales. Retail and ads remain durable margin drivers, while Trainium, Bedrock, Kiro, and longer-term opportunities like Leo add incremental upside that we believe is not fully reflected in the stock.
- **CRWV**. CRWV is one of the best in the industry at scaling HPC infrastructure, with 1GW of active capacity today and plans to scale toward 8GW by FY30. The company already counts many of the largest hyperscalers, including MSFT, META and GOOGL, as well as leading AI natives such as OpenAI, Cursor and Anthropic, as customers. At a \$63B market cap versus \$99B of RPO and a multi-trillion-dollar AI infrastructure buildout ahead, we view valuation as compelling. We believe the stock can inflect in 2H as margins inflect and RPO continues to benefit from unrelenting AI demand.

- **GOOGL.** One of the best-positioned AI platforms given its vertically integrated stack spanning custom silicon/TPUs, Gemini models, developer tooling, and scaled consumer/enterprise surfaces. Gemini traction, combined with Google's unmatched data moat across Search, YouTube, Android, Workspace, and Cloud, creates a structural advantage that is difficult to replicate and should support durable AI monetization across both advertising and Cloud.
- **MSFT.** MSFT is positioned to be an enterprise AI winner, with a differentiated end-to-end stack across Copilot, Azure AI, identity, and infrastructure supporting durable double-digit revenue and operating income growth despite elevated AI investment. Copilot paid seats are scaling, Azure AI demand continues to build, and we believe investor concerns around AI-related margin pressure are likely to prove overstated as monetization broadens.

Julien Dumoulin-Smith (Power and Utilities)

- **GEV.** Provider of natural gas turbine and power generation infrastructure as well as grid electric components and wind turbines. Long lead cycle generation remains a key constraint but is not the critical path item for many projects. We are bullish on the long-term services value in the 2030s that is not fully appreciated.
- **NI.** Indiana focused regulated utility with innovative 'GenCo' structure which allows for premium returns on building generation for hyperscalers. Current customers are Amazon and Alphabet with potential for more, as well as expansions.
- **PRIM.** Engineering, procurement, and construction (EPC) company focused with power generation, power delivery, and pipeline focus. Renewables has been a challenging area for the company but are well positioned to execute on simple cycle gas combustion turbine (CT) build out. Access to skilled labor is the single most significant constraint in the power and thus data center ecosystem from our conversations.

Stephanie Dossman (European REITs)

- **MRL** has accelerated its pivot from traditional real estate to DC development in Iberia since 2024. The group is backed by well-located land and strong partnerships across both energy (notably Solaria) and operations, with Edge and CoreWeave. We expect +15% FFOps CAGR over 2025-32E and +11% NTAs CAGR over 2025-32E.

Edison Lee (Chinese Tech and Telecom)

- **VNET** is well-positioned to benefit from the China AI demand surge, supported by its rich power resources in Ulanqab - a desirable location for AI demand. Recent improving D-S dynamics in China also generates a more favorable project economics for IDC operators. Trading at ~10x 2026E EV/EBITDA vs 22x EBITDA Cagr (2026-29E), VNET remains highly attractive ([here](#) and [here](#)).

Roger Samuel (Australian TMT)

- **MP1 AU:** Megaport is transforming into a neocloud, benefiting from rising AI demand. Given that its core networking business already has a presence in over 1100 data centres around the world, Megaport is able to spread AI servers across these data centres and connect them using its mesh network. Latest note [here](#)
- **IFT AU/IFT NZ:** Infratil owns a 50% stake in CDC, the largest data centre operator in Australia. Recently CDC signed the largest deal ever in the country: a 555MW contract with a US customer at premium pricing to its peers. With over 1.6GW in data centre pipeline, CDC is well-positioned to deliver further large contracts, especially when there is a power constraint in the US.

Mike Prew (UK REITs)

- **BBOX** - Tritax management has incubated a power-backed, comprehensive DC business with 1GW of potential DC capacity. We think the DC business provides real alpha for BBOX and the flagship Manor farm scheme alone is expected to contribute £58m pa in rental income.
- **SGRO** - SEGRO, has the scale and is poised to deliver 1.2GW of capacity over the next decade, with rental potential of £200m pa and development yields on cost 8-12%. Reflecting its development-led growth model but lower yield vs. income-led peers.

Our Data Center Capacity Model

North American data center capacity increased by **8.9 GW** in 2025A to **44.7 GW**, and we estimate that another **10.3 GW** will be lit in 2026E, reaching a total installed base of **55.0 GW**. This marks a significant acceleration from the 1.4 to 3.5 GW per year delivered from 2017 to 2022. Looking further out, we model capacity additions growing from **12.1 GW** in 2027E to **15.1 GW** by 2030E, bringing total North American installed capacity to **109.3 GW**, implying a **~20% CAGR** off the 2025A base.

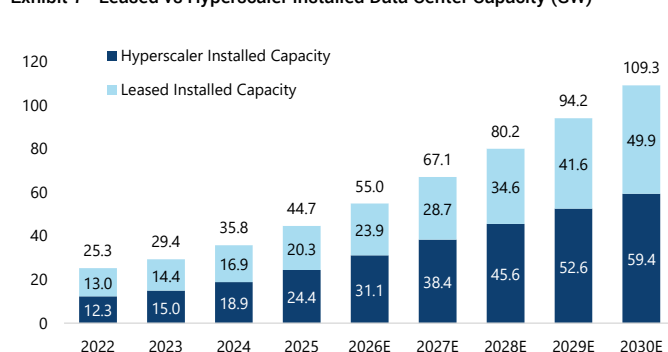
The mix between hyperscaler self-builds and leased capacity is shifting. Hyperscalers accounted for 62% of the **8.9 GW** delivered in 2025A, and we expect their share of new builds to increase to 65% in 2026E before moderating to 45% by 2030E as third-party colocation developers accelerate delivery. On an installed capacity basis, hyperscaler self-builds accounted for **~55% of total capacity in 2025A** and are expected to peak near **57%** in 2026E to 2027E, then decline to **~54%** by 2030E as colocation supply catches up. The leased share of new capacity additions dips from 38% in 2025A to 35% in 2026E, then recovers to 55% by 2030E, reflecting a structural rebalancing as developers convert contracted MW into commissioned capacity. On the installed base, leased capacity stabilizes near 43% through 2027E, then increases to **~46%** by 2030E. We expect the leased data center market to outgrow owner-occupied builds through the forecast period, supported by hyperscaler demand for third-party capacity as a capital-efficient complement to self-builds.

Exhibit 6 - JEF Data Center Demand Model

North American Data Center Capacity	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
TOTAL INSTALLED CAPACITY (MW)																					
Leased	4,900	5,300	5,700	6,300	6,600	7,300	7,600	8,400	9,100	9,600	10,900	11,700	13,000	14,400	16,900	20,300	23,900	28,700	34,600	41,600	49,900
Hyperscaler Self Build	600	800	1,000	1,200	1,900	2,500	3,300	4,200	4,900	6,500	8,700	10,700	12,300	15,000	18,900	24,400	31,100	38,400	45,600	52,600	59,400
Total Data Centers	5,500	6,100	6,700	7,500	8,500	9,800	10,900	12,600	14,000	16,100	19,600	22,400	25,300	29,400	35,800	44,700	55,000	67,100	80,200	94,200	109,300
NEW CAPACITY ADDED (MW)																					
Leased		400	400	600	300	700	300	800	700	500	1,300	800	1,300	1,400	2,500	3,400	3,600	4,800	5,900	7,000	8,300
Hyperscaler Self Build		200	200	200	700	600	800	900	700	1,600	2,200	2,000	1,600	2,700	3,900	5,500	6,700	7,300	7,200	7,000	6,800
Total New		600	600	800	1,000	1,300	1,100	1,700	1,400	2,100	3,500	2,800	2,900	4,100	6,400	8,900	10,300	12,100	13,100	14,000	15,100
YoY GROWTH (%)																					
Leased Installed		8.2%	7.5%	10.5%	4.8%	10.6%	4.1%	10.5%	8.3%	5.5%	13.5%	7.3%	11.1%	10.8%	17.4%	20.1%	17.7%	20.1%	20.6%	20.2%	20.0%
Hyperscaler Installed		33.3%	25.0%	20.0%	58.3%	31.6%	32.0%	27.3%	16.7%	32.7%	33.8%	23.0%	15.0%	22.0%	26.0%	29.1%	27.5%	23.5%	18.8%	15.4%	12.9%
Total Installed		10.9%	9.8%	11.9%	13.3%	15.3%	11.2%	15.6%	11.1%	15.0%	21.7%	14.3%	12.9%	16.2%	21.8%	24.9%	23.0%	22.0%	19.5%	17.5%	16.0%
HYPERSCALER SHARE (%)																					
Share of Installed Base		10.9%	13.1%	14.9%	16.0%	22.4%	25.5%	30.3%	33.3%	35.0%	40.4%	44.4%	47.8%	48.6%	51.0%	52.8%	54.6%	56.5%	57.2%	56.9%	55.8%
Share of New Capacity		33.3%	33.3%	25.0%	70.0%	46.2%	72.7%	52.9%	50.0%	76.2%	62.9%	71.4%	55.2%	65.9%	60.9%	61.8%	65.0%	60.3%	55.0%	50.0%	45.0%
LEASED SHARE (%)																					
Share of Installed Base		89.1%	86.9%	85.1%	84.0%	77.6%	74.5%	69.7%	66.7%	65.0%	59.6%	55.6%	52.2%	51.4%	49.0%	47.2%	45.4%	43.5%	42.8%	43.1%	44.2%
Share of New Capacity		66.7%	66.7%	75.0%	30.0%	53.8%	27.3%	47.1%	50.0%	23.8%	37.1%	28.6%	44.8%	34.1%	39.1%	38.2%	35.0%	39.7%	45.0%	50.0%	55.0%

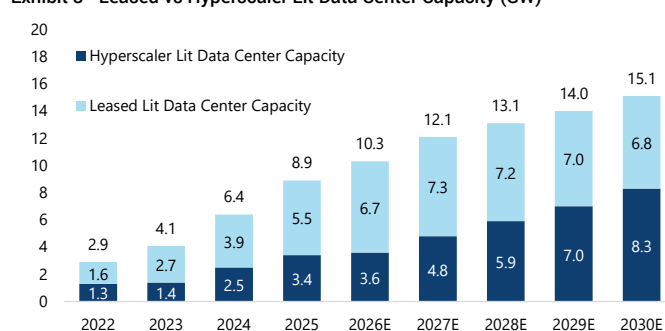
Source: Jefferies, Aterio

Exhibit 7 - Leased vs Hyperscaler Installed Data Center Capacity (GW)



Source: Jefferies, Aterio

Exhibit 8 - Leased vs Hyperscaler Lit Data Center Capacity (GW)



Source: Jefferies, Aterio

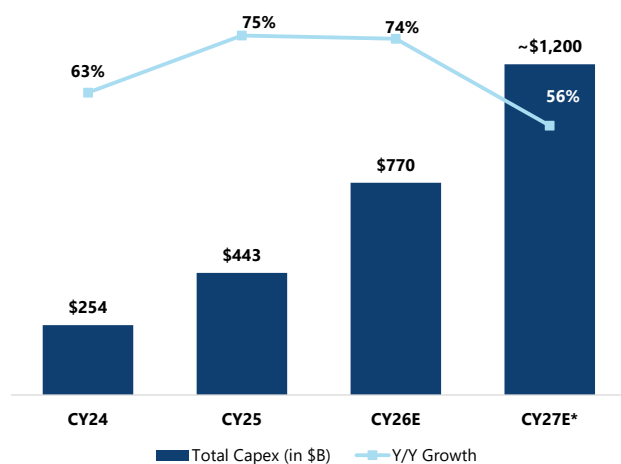
Data Center Demand is Robust

Data center demand continues to accelerate. Hyperscaler capex is on pace for \$770B in CY26E, up 74% YoY and nearly 5x the \$156B deployed in CY23, with estimates revised \$390B higher over the past year as capacity constraints and rising component costs push spending above initial plans. Combined cloud backlog surged \$376B QoQ to approximately \$2T in 1Q26, growing 3x faster than capex since CY23, while cloud margins expanded across the board, confirming that incremental spend is generating returns. Bottom-up accelerator chip forecasts from our semiconductor team reinforce the thesis from a different angle, with implied global AI power demand reaching ~30 GW and North American demand reaching 19.2 GW in 2026E, a figure that is nearly double 10.3 GW of new North American capacity we expect to come online. Below, we detail the demand signals across hyperscaler capex and semiconductor volumes before turning to the six physical supply constraints setting the ceiling on deliverable capacity.

Hyperscalers Keep Spending to Meet Growing AI Demand

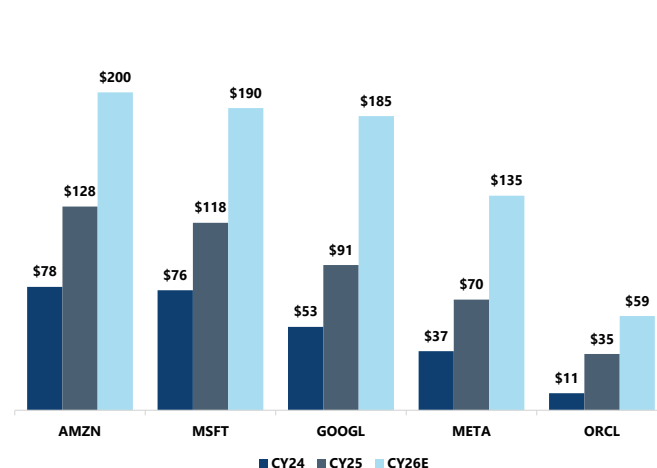
Mega Cap Tech (Brent Thill): We expect Big 3+ META and ORCL to spend \$770B in CY26E Capex, up 203% from '24 and 8% above our prior Q4 estimates, implying stable y/y growth of 74% driven by persistent capacity constraints. Q1 leading indicators demonstrate accelerating AI demand, with the combined Big 3 cloud backlog increasing \$347B q/q, approaching \$1.5T, and roughly 8x the \$42B increase in our CY26 capex estimates. MSFT still expects capacity constraints to persist through the end of its FY26 and raised FY26 Capex ests by \$46B, implying 61% y/y growth vs 38% y/y priorly. GOOGL increased its CY26 Capex guide to \$180-190B and said that number will significantly increase in CY27. AMZN mgmt kept FY26 capex guide flat at \$200B, implying 56% y/y growth. Read full cloud recap [here](#).

Chart 1 - Total Capex Spend (\$B) CY24 vs. CY27E, Big 3 + Oracle + Meta



Source: Jefferies, Company Data
*Investor Bogey Estimate

Chart 2 - Capex Totals, with Jef Projections (\$B)



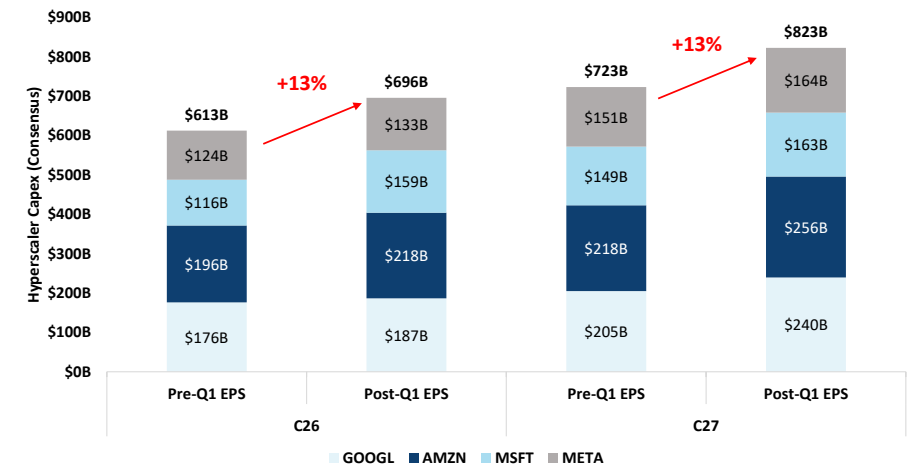
Source: Jefferies, Company Data

Chip Volume Imply 19 GW of AI Power Demand in North America in 2026E

Semiconductors (Blayne Curtis): Hyperscaler capex continues to inflect materially higher, with consensus estimates for C26/C27 capex revised +6%/+17% for GOOG, +11%/+17% for AMZN, +35%/+7% for MSFT, and +6%/+9% for META through 1Q26 earnings (see Exhibit 9). This reinforces our view that the AI data center buildout continues to accelerate and should translate directly into more demand for AI accelerators and other AI DC related infrastructure. This is further supported by continued

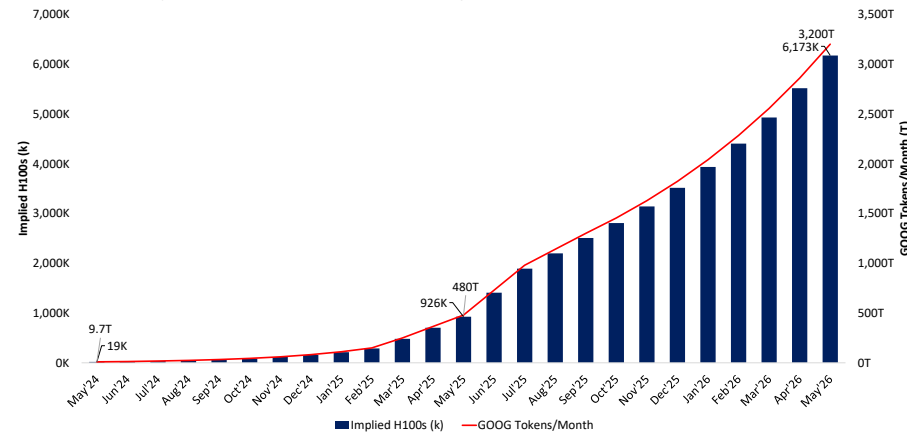
momentum at Anthropic, with one of the primary drivers for their recent \$65B Series H raise being the need to expand compute capacity to meet growing demand for Claude. Anthropic highlighted agreements with AMZN for up to 5GW of new capacity, GOOG/AVGO for 5GW of next-gen TPU capacity, and SpaceX for access to GPU capacity in Colossus 1. In addition, Anthropic's revenue run-rate surpassed \$47B earlier this month (>50% M/M growth, vs \$30B disclosed in early April), pointing to the increasing usage of AI. Recent incremental datapoints from Google also highlight increasing AI usage with monthly tokens processed across all GOOG surfaces reaching 3.2Q+ in May, which is ~7x Y/Y vs 480T in May-25 (see Exhibit 10). Overall, these datapoints underscore growing AI adoption, supporting our view for continued data center infrastructure spend and strength across our DC compute and infrastructure names.

Exhibit 9 - Hyperscaler Capex Estimates Revised Higher Through 1Q26 Earnings



Source: FactSet, Jefferies Research

Exhibit 10 - Monthly Tokens Processed Across All Google Surfaces



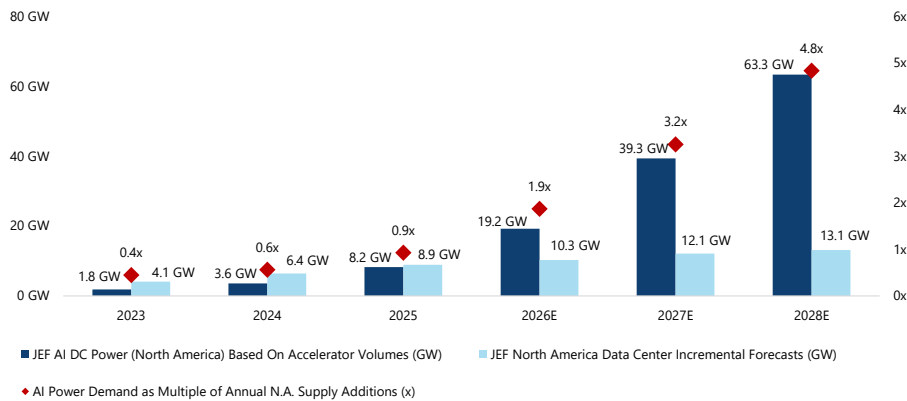
Source: Google, Jefferies Research

Chip Power Forecasts Highlight Overwhelming Need for Infrastructure

Our semiconductor team publishes a bottom-up analysis of total accelerator sales volumes across NVDA, AVGO, MRVL, AMD, and MediaTek to estimate the aggregate power required to run the servers that host these chips. The results validate the structural undersupply of North American data center capacity relative to the pace of AI chip deployment. Total accelerator volumes across the five vendors were 9.4M units in 2025, growing to 16.0M in 2026E, 23.6M in 2027E, and 26.0M in 2028E, implying global total AI data center power demand of 12.5 GW in 2025, 30.0 GW in 2026E, 63.4 GW in 2027E, and 105.5 GW in 2028E.

Applying our estimates for the share of accelerator sales going to North America (declining from **66%** in 2025 to **60%** by 2028E as international AI buildouts accelerate), we estimate North American AI power demand from chip volumes alone reaches **8.2 GW** in 2025, **19.2 GW** in 2026E, **39.3 GW** in 2027E, and **63.3 GW** in 2028E. Compared against our forecast for **10.3 GW** of incremental North American capacity additions in 2026E, AI chip-implied demand exceeds new supply by **1.9x**, growing to **3.2x** in 2027E and **4.8x** in 2028E. On a cumulative basis, unmet AI data center power demand versus annual North American supply additions reaches an estimated **8.9 GW** in 2026E, **27.1 GW** in 2027E, and **50.2 GW** in 2028E, underscoring that the constraint is not demand visibility but the physical ability to deliver capacity fast enough to absorb it. AI power demand from accelerator chip sales volumes represented approximately **18.4%** of total North American installed capacity in 2025, and we estimate this rises to **34.9%** in 2026E and **78.9%** by 2028E, reinforcing that AI infrastructure is the dominant driver of incremental data center demand globally.

Exhibit 11 - AI Accelerator-Implied Power Demand vs. N.A. Incremental DC Supply Additions, Driving Structural Tightness (GW)



Source: Jefferies, Aterio

Exhibit 12 - JEF Accelerator and Chip Power Forecasts vs JEF Data Center Forecasts

Accelerator Sales Volumes (k)	2023	2024	2025	2026E	2027E	2028E
NVDA	2,703	4,423	4,955	8,458	11,175	10,100
AVGO	2,340	3,166	2,945	5,025	8,662	10,250
MRVL	0	293	1,050	1,600	1,800	3,000
AMD	53	516	476	911	1,400	1,600
MTK	0	0	0	25	600	1,000
Total Volumes	5,095	8,398	9,426	16,018	23,637	25,950
Power (MW)	2023	2024	2025	2026E	2027E	2028E
NVDA	1,287	2,418	5,472	12,905	26,138	41,791
AVGO	377	425	1,504	4,086	9,242	14,651
MRVL	0	191	686	1,327	2,439	5,115
AMD	40	393	456	1,180	2,840	6,080
MTK	0	0	0	23	556	927
Implied Total Accelerator Power (MW)	1,704	3,428	8,117	19,521	41,215	68,563
Assumed XPU Power as % of Total	65%	65%	65%	65%	65%	65%
Total Implied AI DC Power (MW) Globally	2,621	5,273	12,488	30,033	63,407	105,482
% of AI DC Power Going to North America	70%	68%	66%	64%	62%	60%
JEF AI DC Power (North America) Based On Accelerator Sales Volumes (MW)	1,835	3,586	8,242	19,221	39,312	63,289
JEF North America Data Center Incremental Forecasts (MW)	4,100	6,400	8,900	10,300	12,100	13,100
JEF North America Data Center Installed Forecast	29,400	35,800	44,700	55,000	67,100	80,200
AI DC Power as % of Installed Data Center Capacity	6.2%	10.0%	18.4%	34.9%	58.6%	78.9%
Annual Gap of Unmet AI DC Power (MW) - North America			(658)	8,921	27,212	50,189
Cumulative Unmet AI DC Power Gap (MW) - North America			0	8,921	36,133	86,323

Source: Jefferies

Hyperscalers Uncommenced Finance Leases Indicate Massive GW Builds

Utilizing financial disclosures, we can make educated assumptions and estimate the volume of data center leases (excluding self-builds) that MSFT, META, ORCL, and GOOGL have committed to.

- MSFT's in-place leases increased by ~130 MW in 1Q26, while uncommenced leases grew by ~1.7 GW. MSFT now has 8.1 GW under construction, putting it third amongst the group.
- ORCL saw a 600 MW increase in uncommenced leases, with the company projected to have 13.2 GW of under-construction data center capacity, the highest in the group.
- META had a 4 GW increase in uncommenced data center leases, nearly double the 2.3 GW added in 4Q25. The company now has 9.3 GW under construction, the second highest in the group.
- GOOGL added 1.1 GW of capacity in non-commenced data center MWs in 1Q26, bringing GOOGL's total underconstruction capacity to 2.7 GWs

Exhibit 13 - Non-Commenced Hyperscaler Leases - Increased by 7.4 GW in 1Q26 Suggesting over 34 GW of Data Center Capacity Under Development

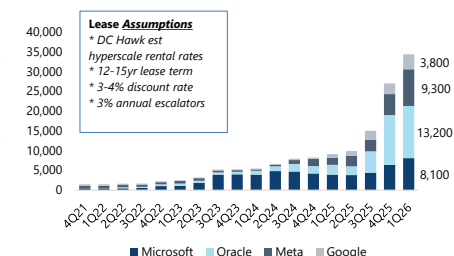


Exhibit 14 - MSFT In-Place vs Non-Commenced Leases

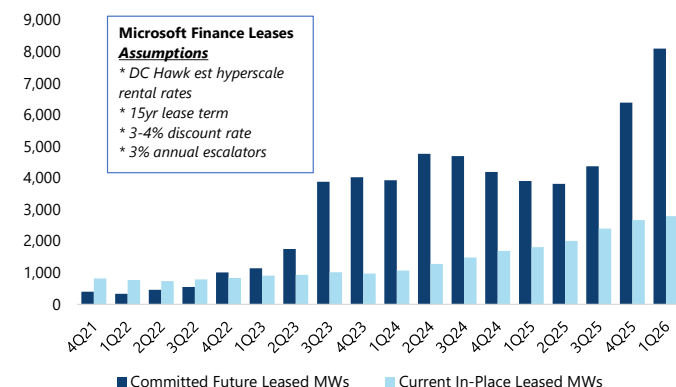
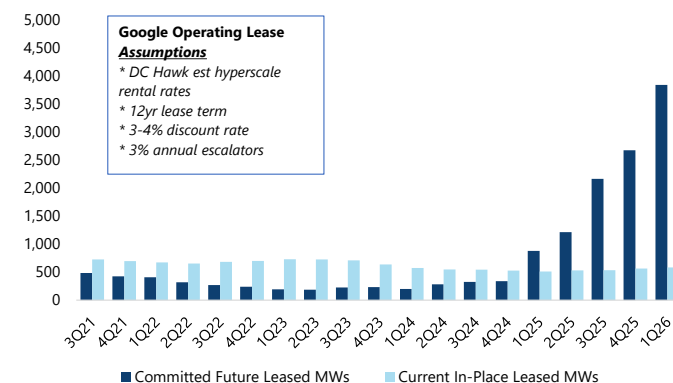
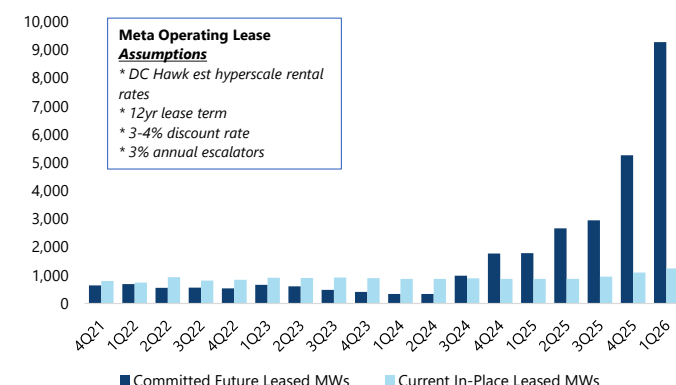


Exhibit 15 - GOOGL In-Place vs Non-Commenced Leases



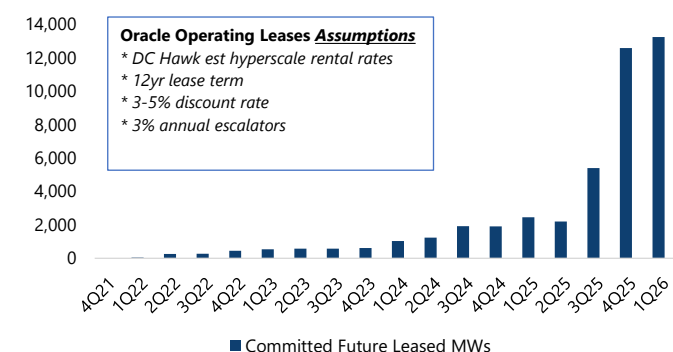
Source: Jefferies, Company Reports

Exhibit 16 - META In-Place vs Non-Commenced Leases



Source: Jefferies, Company Reports

Exhibit 17 - ORCL's Non-Commenced Leases



Source: Jefferies, Company Reports

Supply Chain Constraints: What are They and Which Companies?

Data center development relies on a small set of physical systems that must be delivered and installed before capacity can be energized. Each system has different lead times, supplier concentration, and degrees of flexibility. Our model calibrates supply ceilings for each constraint annually from 2022A through 2030E. EPC/Labor is the binding constraint in 2026E at 10.4 GW, with cooling nearly co-binding at 11.4 GW. The two converge in 2027E (EPC/Labor at 12.1 GW, Cooling at 12.2 GW), after which cooling becomes the binding constraint from 2028E onward.

EPC / Construction Labor

2026E Supply Ceiling: 10.4 GW

Key Suppliers: Quanta Services (PWR), MasTec (MTZ), Primoris (PRIM), MYR Group (MYRG), Everus Construction Group (ECG), Centuri Holdings (CTRI), Dycom Industries (DY), SOLV Energy (MWH), Argan (AGX), IES Holdings (IESC), Sterling Infrastructure (STRL), EMCOR Group (EME), Comfort Systems (FIX), Legence (LGN)

What is it? Skilled labor is required to physically construct, wire, commission, and energize data centers. This includes licensed electricians, EPC general contractors, and specialized trades.

Why is it required? Physical construction and electrical installation cannot be automated or meaningfully outsourced beyond current limits.

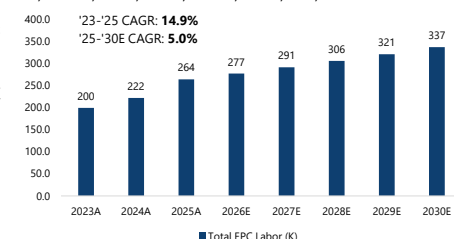
How constrained is it today? EPC/Labor is the binding constraint in 2026E. Headcounts across major EPCs stand at roughly 264K employees, growing at approximately 5% annually, while our model's ratio of workers required per GW delivered declines by roughly 10% annually as productivity improves. The disconnect between surging demand and constrained labor supply is visible in contractor financials: PWR reported record Q1 2026 revenue of \$7.87B (+26% YoY) with record backlog of \$48.5B, while MTZ posted record Q1 revenue of \$3.83B (+34% YoY) with record 18-month backlog of \$20.3B, up \$4.4B YoY, led by 65% growth in Clean Energy and Infrastructure. Both raised full-year guidance, yet the rate of backlog accumulation continues to outpace revenue conversion, reinforcing that labor availability rather than contract visibility is the bottleneck. The constraint is geographically concentrated in primary data center markets, including Northern Virginia, Phoenix, and Dallas, where competition with grid buildout, renewables, and broader infrastructure projects for the same pool of licensed electricians and EPC trades is most acute.

Can it be excluded or deferred? No. Construction labor is required for every project. Delays in labor availability translate directly into slippage in commissioned capacity.

Jefferies Analyst View (Julien Dumoulin-Smith, Paul Zimbardo): We see craft-skilled EPC labor and self-perform execution capacity as the largest constraint within the broader data center power infrastructure buildout, with the bottleneck shifting from demand visibility to who can actually execute transmission, substation, generation and electrical scope at scale. Our preferred way to play DC-related E&C upside is **PRIM** on value, as we see shares still discounting prior execution concerns while the growth narrative increasingly shifts toward gas generation, power delivery and data center-adjacent electrical work. We also think Street is underappreciating **PWR**'s data center opportunity, particularly given its customer relationships, labor scale and ability to capture grid-facing work tied to utility large load growth. **MTZ** a compelling E&C with scale across power delivery, comms, pipeline, clean energy & infrastructure (CE&I) all converging into a cohesive turnkey solution for data centers.

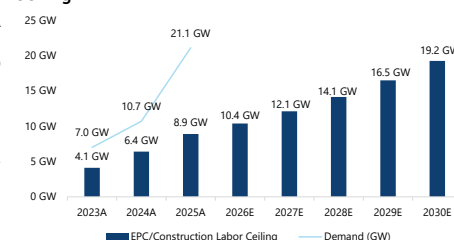
Exhibit 18 - Total EPC Labor across Major EPC Provider (K)

EPCs Referenced: PWR, MTZ, PRIM, MYRG, ECG, CTRI, DY, MWH, AGX, IES, STRL, EME, FIX, LGN



Source: Jefferies, Company Reports

Exhibit 19 - EPC/ Construction Labor: Implied GW Ceiling



Source: Jefferies

Cooling Systems

2026E Supply Ceiling: 11.4 GW

Key Suppliers: Vertiv (VRT), Johnson Controls (JCI), Carrier (CARR), Trane Technologies (TT), Schneider Electric (SU-FR).

What is it? Cooling systems remove heat generated by IT equipment and include air cooling, liquid cooling, chillers, rear-door heat exchangers, and broader thermal management infrastructure. AI-optimized facilities require substantially more sophisticated and dense cooling configurations than traditional cloud or enterprise data centers.

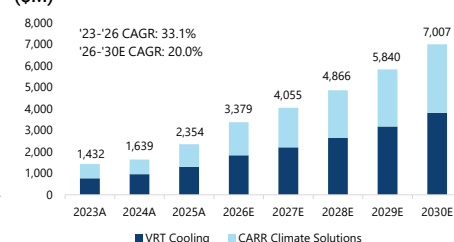
Why is it required? Data centers cannot operate without cooling. AI workloads generate heat densities that legacy air-based systems are increasingly struggling to address, driving a structural shift toward liquid- and hybrid-cooling architectures that are more capital-intensive and harder to source quickly.

How constrained is it today? Cooling becomes the binding constraint from 2028E onward, as EPC labor productivity gains allow construction capacity to scale faster than cooling manufacturing can likely ramp. The tightness in cooling is driving strong results across the supplier base: VRT, the largest proxy, reported Q1 2026 revenue of \$2.65B (+30% YoY, +23% organic) with Americas organic growth of 44%, and noted orders grew 71% YoY on its earnings call, yet raised FY2026 revenue guidance only to \$13.5-14.0B (+29-31% organic), suggesting manufacturing throughput rather than demand is the governor on growth. JCI corroborates the picture, with FQ2 2026 orders up 30% organically, Americas orders surging 40%, and record backlog reaching \$20.0B (+26% YoY), driven by data center and mission-critical demand. AI-specific liquid cooling components face the most acute shortages, as manufacturing lines are earlier in their ramp than demand requires.

Can it be excluded or deferred? No. Cooling is non-negotiable for any operational data center. Design flexibility exists at the margin such as with air versus liquid configurations or cooling towers vs chillers, but does not eliminate the constraint. AI inference and training workloads, in particular, cannot be served without purpose-built thermal management.

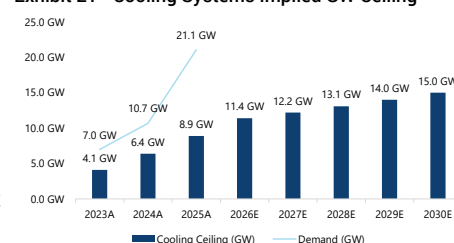
Jefferies Analyst View (Stephen Volkmann): We see chiller capacity as the largest constraint within the broader cooling universe, given the more commoditized nature of other components such as AHUs, CDUs, etc. We estimate global chiller capacity can likely grow at a maximum ~15-25% CAGR over time given supply chain, labor, and machining constraints. Overall, our preferred way to play DC cooling is through **CARR** (our top HVAC pick) given its relative valuations vs competitor **TT** despite similar DC mix and margin profile.

Exhibit 20 - Cooling Systems: DC-Relevant Revenue (\$M)



Source: Jefferies, Company Reports, Factset

Exhibit 21 - Cooling Systems Implied GW Ceiling



Source: Jefferies

Power Availability

2026E Supply Ceiling: 11.6 GW

Key Suppliers / Proxies: EIA capacity additions, FERC interconnection queue, GE Vernova (GEV) gas turbines, behind-the-meter solutions (WMB, KGS, etc.), and key regulated utilities (ETR, NI, LNT).

What is it? Power availability reflects the total grid-connected and behind-the-meter power capacity that can feasibly be allocated to new data center builds in a given year, drawing on EIA capacity additions, FERC interconnection approvals, and BTM generation sources.

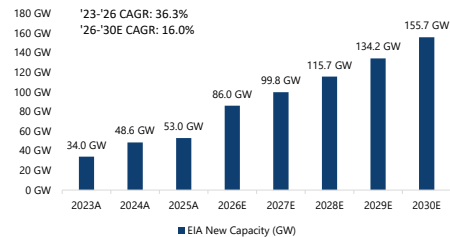
Why is it required? Every data center MW requires a corresponding MW of reliable, deliverable power. Without secured interconnection or on-site generation, capacity cannot be commissioned, regardless of how complete the physical build is.

How constrained is it today? Our 2026E power ceiling of 11.6 GW sits above the binding constraints at 10.4 GW for EPC/Labor and 11.4 GW for cooling, meaning that while power is tight, the supply chain will hit labor and cooling bottlenecks before it hits power limitations. That said, the fundamental challenge is the disconnect between queue size and deliverable power: the US interconnection queue stands at 2,061 GW per LBNL Queued Up 2026, but with a median queue-to-COD of five years nationally and eight years in PJM, the vast majority of that capacity will not be available on a timeline relevant to current data center demand. Natural gas in the queue surged 86% YoY to 253 GW, reflecting data center-driven demand for dispatchable baseload power. BTM power solutions are increasingly viewed as a potential structural workaround to the queue bottleneck, enabling developers to energize sites without waiting for grid interconnection. DC-available new power grows from 8.9 GW in 2025A to 11.6 GW in 2026E, and at our 16% CAGR assumption, reaches 25.1 GW by 2030E, well above the cooling ceiling of 15.0 GW, suggesting power is unlikely to become a binding constraint over the forecast period absent a significant downward revision to grid addition assumptions

Can it be excluded or deferred? No. Power is the foundational input for all data center capacity. However, BTM solutions and miner-to-AI conversions at energized sites provide a meaningful structural workaround to grid queue constraints.

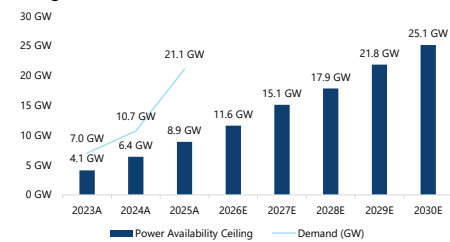
Jefferies Analyst View (Julien Dumoulin-Smith / Paul Zimbardo): The outlook in 2024 and most of 2025 was universally positive for the independent power producers (IPPs) as a constraint. The investment thesis was that existing merchant IPPs were best positioned to contract their existing generation at premium prices with significant speed-to-market advantages. That thesis has quickly faded as the affordability challenges have grown and residential customers in PJM have been adversely impacted by data center demand projections. With affordability a critical issue, the two key trends that have emerged are (1) increasing preference for regulated utility markets; and (2) behind-the-meter constructs [BTM]. Data centers are willing to pay material premiums for power (\$130+/MWh and \$160/MWh not uncommon) under BTM frameworks which do not adversely impact customers. *The regulated utilities are the preferred way to invest in the generation build-out via a low-risk model.*

Exhibit 22 - Power Availability: US New Power Capacity Additions (GW)



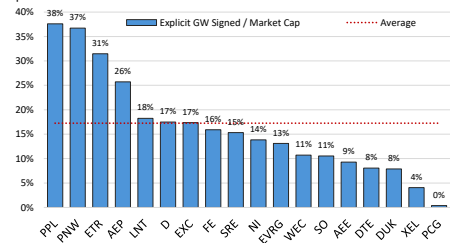
Source: Jefferies, EIA

Exhibit 23 - Power Availability: Implied GW Capacity Ceiling



Source: Jefferies

Exhibit 24 - Explicit GW Signed / Market Cap
Updated June 2026



Source: Jefferies LLC, Company materials, Factset

Electrical Equipment

2026E Supply Ceiling: 12.4 GW

Key Suppliers: Eaton (ETN), Schneider Electric (SU-FR), Vertiv (VRT), Prysmian (PRY-IT), Amphenol (APH), ABB (ABBN-CH), Siemens (SIE-DE), Forgent Power Solutions (FPS).

What is it? Electrical equipment encompasses switchgear, busways, breakers, power distribution units, cabling, and connectivity infrastructure that moves electricity from transformers to IT equipment within the facility.

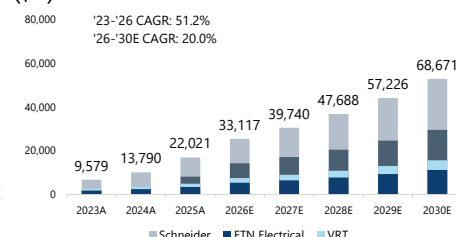
Why is it required? Even with power available at the site boundary, electricity must be safely stepped down and distributed to every rack. This equipment scales directly with power density and redundancy design, meaning AI data centers, which run at meaningfully higher densities than legacy facilities, require disproportionately more electrical infrastructure per MW. Additionally, UPS devices and power management systems ensure maximum uptime and reliability.

How constrained is it today? Switchgear has been in short supply, with lead times for high-voltage switchgear exceeding 12 months. The demand backdrop for this equipment is robust, as order growth across the major suppliers continues to significantly outpace revenue delivery: ETN reported record Q1 2026 sales of \$7.5B (+17% YoY, +10% organic), but Electrical America's rolling 12-month orders grew 42% and sector backlog expanded 48% YoY, prompting ETN to raise FY2026 organic growth guidance to 10% from 8%. APH posted record Q1 sales of \$7.6B (+58% YoY, +33% organically), record orders of \$9.4B, and a book-to-bill of 1.24x, driven by exceptional IT datacom demand, indicating that customer procurement is running well ahead of the supply chain's capacity. Schneider Electric's Energy Management backlog exceeded €25B (+18% YoY), with FY2026 organic growth guided at 7-10%, led by data centers. The pattern is consistent: orders and backlog are growing at 2-4x the rate of revenue, confirming that the constraint is manufacturing throughput and lead times, not demand.

Can it be excluded or deferred? No. Power distribution is essential. Sourcing is more flexible than transformers, and suppliers can add capacity faster, but lead times for switchgear specifically have extended to 52–65 weeks in some configurations, making near-term deferral impractical for projects targeting 2026 delivery.

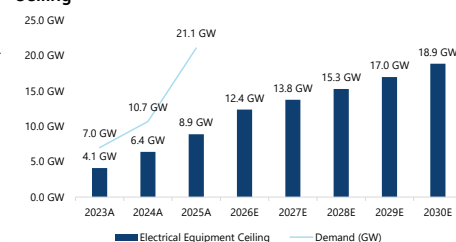
Jefferies Analyst View (Stephen Volkmann): ETN continues to aggressively ramp capacity for low/medium voltage transformers, switchgear, UPS, and other critical electrical components. The company is targeting a total of 24 specific capacity expansion projects as part of a \$1.5bn investment plan. Currently, 12 projects are complete with an add'l 6 coming online by the end of 2026, and the rest ramping in 2027+. Going forward, 800VDC architecture likely presents further upside, though adoption will likely be limited. Our preferred way to play electrical is with **ETN** given margin upside to come.

Exhibit 25 - Electrical Equipment: DC-Relevant Revenue (\$M)



Source: Jefferies, Company Reports, Factset

Exhibit 26 - Electrical Equipment: Implied GW Capacity Ceiling



Source: Jefferies

Power Transformers

2026E Supply Ceiling: 13.2 GW

Key suppliers: GE Vernova (GEV), Siemens Energy (ENR-DE), Hitachi Energy (6501-JP), Hyundai Electric (267260-KS), Forgent Power Solutions (FPS), Toshiba (6502-JP), TBEA (600089-CN)

What is it? Transformers step voltage up or down between the utility grid and the data center facility, enabling high-voltage electricity to be safely received and distributed on-site. Large power transformers are custom-engineered, capital-intensive components with limited interchangeability.

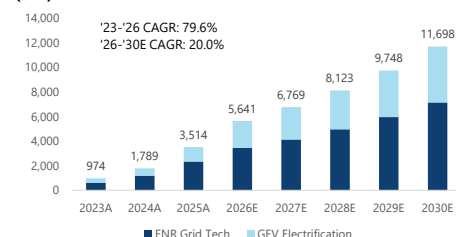
Why is it required? A data center cannot be energized without transformers. They are mandatory regardless of design, tenant type, or geography. There is no workaround, no substitute, and no ability to phase their inclusion into a build.

How constrained is it today? Lead times for large power transformers routinely exceed 24 to 36 months, and data center demand competes directly with grid expansion and renewables for available units, making this the constraint most exposed to cross-sector competition for capacity. Both major Western suppliers are seeing demand accelerate well beyond their ability to deliver: ENR reported record Q2 FY2026 orders of €17.7B with total backlog reaching €154B and book-to-bill of 1.72x, with Grid Technologies orders up 42% YoY. ENR raised FY2026 comparable revenue growth guidance to 14-16% (from 11-13%) and targets a low-teens revenue CAGR through FY2028, yet even these upgraded targets imply production growth materially below order intake. GEV reported Q1 2026 orders of \$18.3B (+71% organically) with total backlog reaching \$163B (+\$13B sequentially), and its Electrification segment booked \$2.4B in data center equipment orders in Q1 alone, exceeding all of 2025 combined. GEV now expects combined gas turbine backlog and slot reservation agreements to reach at least 110 GW by year-end 2026, up from 100 GW at the end of Q1.

Can it be excluded or deferred? No. Transformers are mandatory and cannot be excluded or substituted. Projects without secured transformer delivery commitments face direct commissioning risk.

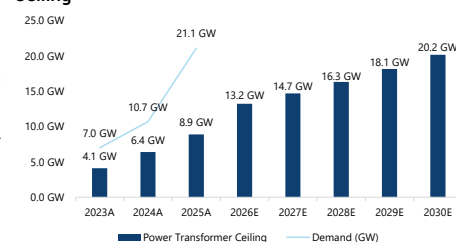
Jefferies Analyst View (Julien Dumoulin-Smith): Seeing significant acceleration in order activity across the sector, many suppliers saw 100%+ YoY order growth in 1Q26 as transformer equipment supply has emerged as a key area of project constraint. GE Vernova (**GEV**) recently supplemented its portfolio with consolidation of the Prolec JV and is only beginning to see an acceleration in data center-related orders (\$2.4bn in 1Q26 orders, more than all of FY25); likely to enhance domestic supply market share organically through FY26+. Forgent Power Solutions (**FPS**) is in the early stages of ramping electrical equipment supply (therein transformers) from roughly \$1.5Bn run-rate currently to \$5Bn by the end of the decade, with volume leverage offering surplus incremental margins relative to peers. Significant brick and mortar capital expenditures for FPS conclude in mid-2026, with further ability to ramp to be enabled by growing headcount. FPS presents higher beta pure-play exposure while GEV's standard product market share gain opportunity still is not fully reflected in forward estimates.

Exhibit 27 - Power Transformers: DC-Relevant Revenue (\$M)



Source: Jefferies, Company Reports, Factset

Exhibit 28 - Power Transformers: Implied GW Capacity Ceiling



Source: Jefferies

Backup Generators

2026E Supply Ceiling: 15.2 GW

Key Suppliers: Cummins (CMI), Caterpillar (CAT), Generac (GNRC), Rolls-Royce Power Systems (RR-GB)

What is it? Backup generators provide on-site power during grid outages and must meet facility uptime and redundancy standards. AI data centers often require larger, N+1 or 2N redundant generator configurations that consume more equipment per MW than legacy deployments.

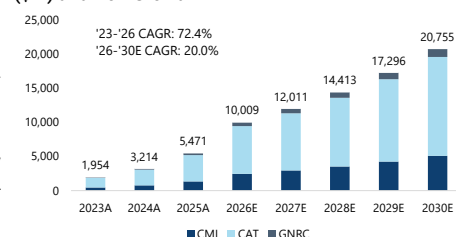
Why is it required? Data centers require near-continuous power availability. Generators ensure resilience against grid interruptions and are mandatory for hyperscalers, colocation providers, and AI inference workloads that cannot tolerate unplanned downtime.

How constrained is it today? Backup generators are the least binding constraint in our model, with a 2026E ceiling of 15.2 GW. Unlike most other constraints, backup generators are more fungible, as in certain use cases, they can either be substituted with other solutions or ignored entirely. However, Tier III data center capacity requires uptime levels that can only be guaranteed with backup generators, and lead times have meaningfully extended from pre-AI norms as data center demand increasingly competes with hospitals, defense, and broader infrastructure for the same equipment. Supplier results confirm the demand acceleration: CMI's Power Systems segment posted record Q1 2026 revenue of \$1.96B (+19% YoY), led by data center backup power demand, and raised FY2026 revenue growth guidance to 8-11% (from 3-8%). CAT reported record backlog of \$63B (+79% YoY), with Power Generation sales up 48% driven by large gensets and turbines for data center applications. Large reciprocating engine backlog is up more than 3.5x since January 2024, and CAT is expanding large engine capacity to nearly 3x 2024 levels to meet demand. GNRC is the emerging entrant in the category, with C&I segment sales of \$510M (+28% YoY) and data center backlog exceeding \$700M, more than doubling YoY. GNRC received a non-binding \$600M notice to proceed from a hyperscale customer for 2027 deliveries and is in final stages of vendor approval with two hyperscale accounts.

Can it be excluded or deferred? In limited edge cases, backup generators have been excluded from early-stage AI training buildouts with less strict uptime requirements. However, any facility supporting cloud, inference, or colocation workloads requires full redundancy. Deferral is operationally viable only for pure training campuses.

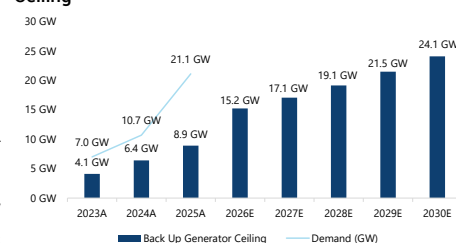
Jefferies Analyst View (Stephen Volkmann): Backup generator capacity continues to grow through newer entrants such as Generac (via Weichai) as well as legacy incumbents like CAT/CMI are also rapidly expanding capacity. [Generac recently secured its first hyperscaler contract](#) in early June, a key milestone, although previewed by management. CAT recently announced an additional ~15GW capacity increase for large reciprocating engines, effectively tripling capacity vs 2024, while CMI announced a doubling of large generator production capacity. While there is certainly the risk for overcapacity LT, given the high demand for reciprocating engines for both prime and backup use cases, we still see demand exceeding supply through 2030. Our preferred way to play backup generators is through **CAT**, our top machinery pick.

Exhibit 29 - Backup Generators: DC-Relevant Revenue (\$M) and YoY Growth



Source: Jefferies, Company Reports, Factset

Exhibit 30 - Backup Generators: Implied GW Capacity Ceiling



Source: Jefferies

What About the NIMBYs?

Data center opposition is accelerating (see [here](#) & [here](#)). Opposition to AI data centers now exceeds that to nuclear plants: 71% of Americans oppose local data center construction vs. 53% for nuclear according to Gallup's March '26 survey. The Data Center Watch report found opposition affected 48 projects valued ~\$156bn in H2 of 2025—\$66bn blocked and \$90bn delayed—pushing the cumulative total since 2023 past \$220bn. Over 300 bills were filed across 30+ states in the first six weeks of 2026 (vs. 267 in all of 2025), including rate protections shielding residents from incremental electricity costs (AL, FL, OK) according to MultiState. Fifteen state-level data center moratorium bills have been introduced; though largely symbolic, they signal deteriorating sentiment.

Opposition is driven by five factors, with the figures referring to the percentage who mentioned the specific concerns (Gallup, April 2026):

- **Resource strain (50%)** is the dominant concern. Water usage and energy/grid constraints are each cited by 18% of opponents.
- **Quality-of-life concerns (22%)** center on the community footprint of data centers, including housing and property value impacts (9%), land-use conflicts with residents who prefer alternative development (9%), and increased traffic and construction disruption (5%).
- **Cost concerns (20%)** are anchored by fears of higher utility bills. A PowerLines study finds that utilities are seeking ~\$31bn in rate hikes to fund grid expansion, and Virginia's \$1.6bn/yr DC tax exemption has become the central fault line in a budget standoff. Although there is limited long term evidence linking DCs to power price increases (see [here](#)), YoY increases in '25 have highlighted to policymakers and consumers the potential impact of poorly managed load growth.
- **Pollution (16%)** is driven primarily by noise complaints (9%), with persistent industrial noise that residents report hearing over half a mile away.
- **AI-related concerns (14%)** round out the list, with 12% specifically citing fears of AI replacing human workers. More broadly, 80% of Americans express concern about AI (see [here](#)), making this the smallest discrete driver but a powerful amplifier of opposition sentiment.

In the near-term, we anticipate political backlash will accelerate around and beyond November 2026. National support for data center construction collapsed from 65% to 36% in just thirteen months (Change Research, April 2026). As we highlighted [here](#), some candidates are running on anti-data center platforms: Michigan's Abdul El-Sayed released a "Terms of Engagement" platform which sets eight conditions for developers and utilities (e.g., zero rate hikes, energy reliability); Sanders and Ocasio-Cortez introduced a federal moratorium act; Hawley proposed parallel legislation. In 2025, candidates in Virginia, New Jersey, and Georgia ran on platforms that explicitly targeted data center growth and promised lower power bills and won. As opposition becomes a midterm wedge issue, investor attention may shift to supply-side bottlenecks in AI deployment, with market noise possible as headline risk intensifies through the fall (see [here](#) & [here](#)).

In the medium-term, companies and policymakers are likely to adjust, stabilizing the regulatory environment. Renewable deployment in the U.S. offers a lens on how NIMBYism may evolve. Wind, and to a lesser extent solar, has faced delays and some cancellations, but growth has not stalled. In the near term, more efficient data center buildouts (e.g., better grid utilization and demand flexibility), alongside redesigned utility tariffs, are likely key solutions (see [here](#)). Some have also pointed to orbital data centers (see [here](#)). On policy, the Trump administration's Ratepayer Protection Pledge, signed by seven major tech firms, commits them to "build, bring, or buy" their own power, though it is nonbinding. Community Benefit Agreements are increasingly required, and states like Illinois could mandate that hyperscale facilities fund renewable energy. Together, these steps suggest a regulatory equilibrium is forming that may slow buildouts but improve clarity for long-term capital deployment.

Exhibit 31 - Though largely symbolic, data center moratoria signal deteriorating sentiment toward data center construction.

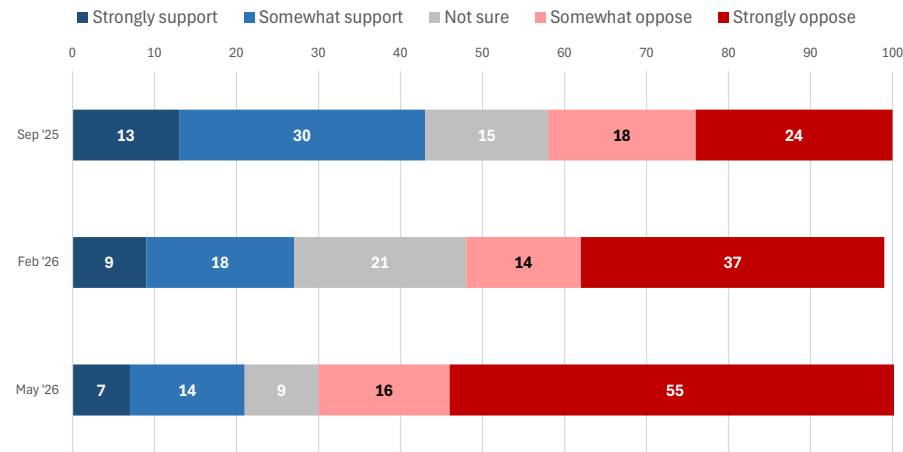
Proposed Data Center Moratorium as of June 2026

Proposed Data Center Moratoriums			
State	Status as of June '26	Title	Description
GA	Introduced	H1012	Proposes a moratorium on new data center construction until March 1, 2027
VT	Introduced	S205	Impose a temporary moratorium on the siting and construction of AI data centers in Vermont
MI	Introduced	H5594	Creates a new act providing a moratorium on certain approvals/operation of new data centers
MN	Introduced	S4298	New data centers moratorium establishment provision and Public Utility Commission to submit a report requirement provision
SC	Introduced	H5286	Joint resolution prohibiting state/local entities from granting final approvals/permits/incentives for new data centers until Jan 1, 2028. The bill was supported by 17 Republican representatives.
PA	Introduced	S1359	Establish a three-year pause on siting and permitting of hyperscale data centers
NY	In Committee	S9144	Imposes a minimum 3-year moratorium on the issuance of permits for new data centers.
VA	In Committee	H1515	Prohibits final approval of any application for a rezoning, special exception, special use permit, site plan, or plan of development for the siting of a new data center by a locality until the earlier of (i) the fulfillment of all pending requests for interconnection to distribution service by an electric utility customer that is a data center or (ii) July 1, 2028.
MD	In Committee	H120	Prohibits approval or construction of a data center in the State that has not received all required permits before the bill takes effect
OK	In Committee	S1488	Establishes a moratorium on constructing/establishing data centers and requires a Corporation Commission study
SD	State Affairs Tabled	S232	Imposes a one-year moratorium on construction/expansion of hyperscale data centers
ME	Failed	LD 307	Halts approval of new data centers with electric loads over 20 MW through Nov. 1, 2027
WI	Failed	AB1099	Prohibits operation of data centers unless specified statewide policy conditions are provided by law
NH	Failed	H1265	Prohibits construction of new data centers for one year and establishes a committee to study environmental impacts

Source: State legislatures; Jefferies.

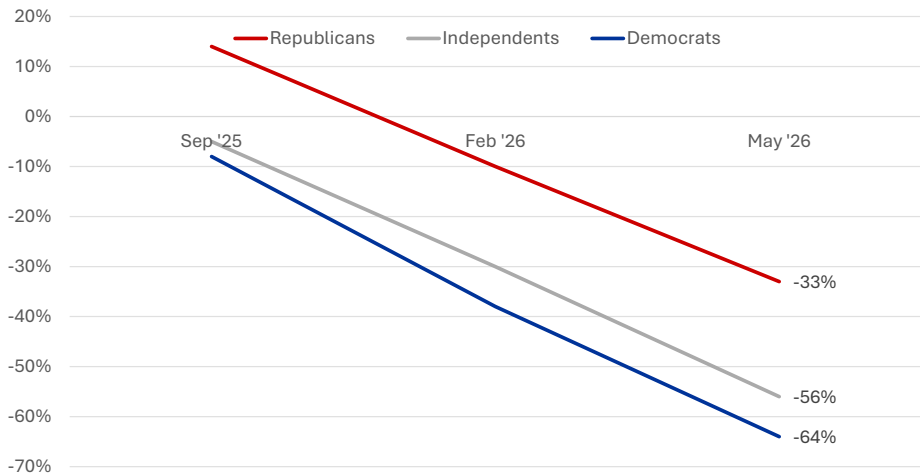
Where is there less data center pushback? The Midwest (IA, IN, MO, & KS), Southeast (LA, MS, & OK), Texas, and Northwest (WY & MT) remain mostly constructive areas for data center build out for various reasons. Net favorable factors to watch are: (1) areas with lower population density; (2) lower median incomes; and (3) Republican makeup.

Exhibit 32 - Heatmap Survey: "Would you support or oppose a data center being build near where you live?"
Data center opposition continues to grow significantly, month and month. The opposition is also intensifying.



Source: Heatmap Pro / Embold Research

Exhibit 33 - Heatmap Survey: "Would you support or oppose a data center being built near where you live?"



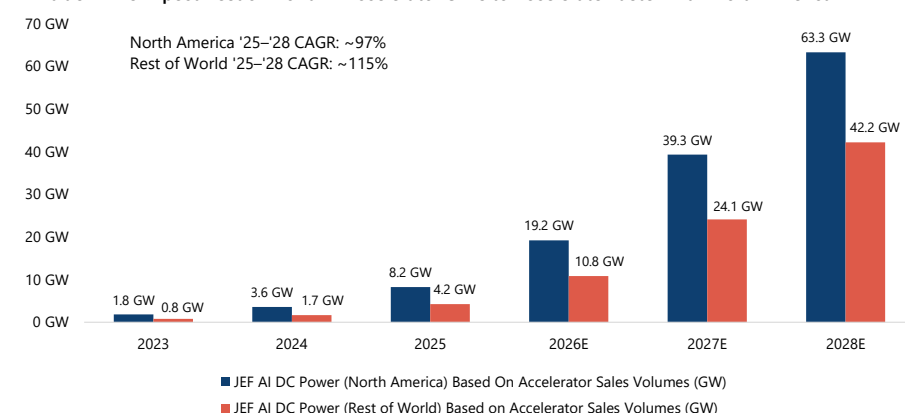
Source: Heatmap Pro / Embold Research

Data center push back has continued to accrue as a bi-partisan issue. According to the latest analysis from Embold Research in May 2026, ~71% of surveyed participants are either 'somewhat opposed' or 'strongly opposed' to data centers being built near where they live. The opposition has risen consistently higher in recent surveys, from ~51% in the February 2026 survey and ~42% in the September 2025 survey. In particular, the number of surveyed participants that 'strongly oppose' data centers in their residential proximity has grown most significantly, from ~24% in the September 2025 survey to ~55% in the latest May 2026 survey. In absolute terms, sentiment against data centers has now shifted overwhelmingly into the opposition camp. While local pushback represents a risk, we find it to enforce a 'winners will keep winning' paradigm, where geographies that have seen successful data center execution and constructive local & regulatory support will continue to attract more data center opportunities.

International Opportunity: If We Can't Build it Here, Build it Over There

AI infrastructure demand is increasingly extending beyond North America, with Rest of World accelerator capacity poised to scale materially over the coming years. As shown in Exhibit 34, our Semis Accelerator model estimates capacity rising from ~0.8 GW in 2023 to ~10.8 GW by 2026 and ~42 GW by 2028, signaling a step-change in global deployment. This expansion is being driven by supply chain constraints, power availability, and siting challenges in the U.S., which are pushing hyperscalers and developers to prioritize Europe, Asia, and Australia as the next phase of the AI infrastructure buildout. Our regional analysts provide additional on-the-ground perspective below.

Exhibit 34 - We Expect Rest of World AI Accelerator GW's to Accelerate Faster Than North America



Source: Jefferies

Australia (Roger Samuel)

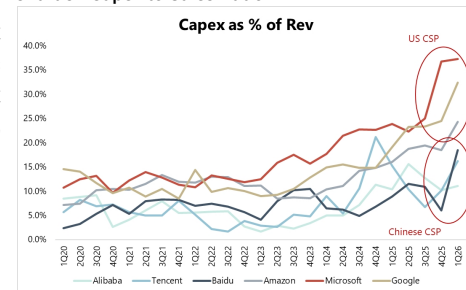
As power constraints in the US become increasingly acute, Australia is emerging as a compelling alternative for data centre capacity, underpinned by its stable geopolitical standing, abundant land, and access to renewable energy. In recent months, major operators have signed deals in the hundreds of MWs (CDC 555 MW, NextDC 250 MW), a scale that was virtually unheard of in the Australian market just 12 months ago. Importantly, the demand pipeline is broadening: while historically driven by two to three traditional hyperscalers, there are now more than 20 neoclouds and foundation model developers actively seeking capacity in Australia. Anthropic, for example, has recently flagged requirements for 300–500 MW. Former bitcoin miners are also seeking to expand their data centre operations, drawn to states such as Western Australia and South Australia where land availability and renewable energy resources are particularly favourable.

Asia (Edison Lee)

AI-driven demand surge signals an inflection point in China's IDC D-S dynamics. VNET's mgt witnessed an unprecedented wave of GW-scale orders in 1H26 from two leading Chinese CSPs, vs the historical norm of 100-300MW per order. With 2GW+ of IDC orders have been issued YTD, mgt estimates the 2026 total wholesale demand in China at ~4GW and VNET's share likely to reach 15-20% (vs 10% last year). With surge demand and supply constrained by gov efforts, ASPs are stabilizing and project economics are recovering after several years of glut in China.

Ulanqab (Inner Mongolia) has emerged as a highly attractive location for Chinese hyperscaler AI workloads, given 1) it is a key data center hub in China's "East Data West Compute" node plan, 2) its proximity to Beijing and Hebei enables low latency services to the Greater Beijing area for both

Chart 3 - Capex to Sales Ratio



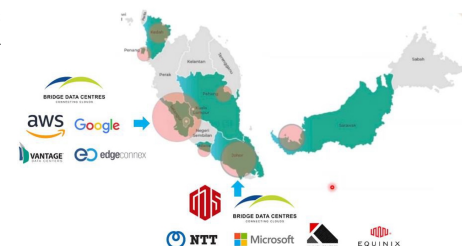
Source: Company, Jefferies

inference and other latency-sensitive cloud services, 3) Ulanqab is accessible by high-speed rail in one hour from Beijing, which is important for AI players as they need to send engineers to the IDCs regularly to do adjustments, and 4) Ulanqab has plenty of low-cost and green power (it has 50% of China's wind resources). VNET still has 700MW of power reserves in Ulanqab, and its excellent gov relationship there would likely allow it to win more resources there in the next 12 months. Only a very few IDC peers could compete with VNET in Ulanqab at this magnitude.

Malaysia has emerged as Southeast Asia's premier data center destination, attracting both US and Chinese hyperscalers at scale. Singapore, the traditional regional hub, has effectively exhausted its available land and power capacity, redirecting overflow demand into Malaysia. Malaysia's data center capacity has grown at 17% CAGR since 2020 (JLL Malaysia). The market attracts both US and Chinese hyperscalers, as US hyperscalers such as AWS, Google and Microsoft are expanding into Malaysia to serve SEA's fast-growing digital economy, and Chinese hyperscalers such as ByteDance, Alibaba, and Tencent operate large and fast-growing overseas businesses (TikTok, Lazada, and regional cloud services) that require offshore infrastructure.

Several factors contribute to Malaysia's data center success. 1) Low-latency: Johor sits just 20km from Singapore with technically verified zero-latency-impact connectivity, and Malaysia's broader submarine cable network links it to Northeast Asia, the Indian subcontinent, and the Americas; 2) Land price: the lowest cost in Asia at less than 5% of total DC development cost, with ~10,000 acres of convertible agricultural land in Johor alone providing a long supply runway; 3) Reliable and adequate power supply; 4) Power tariff is also attractive; 5) Adequate water supply; 5) Gov policies: government is very determined to support IDC industry (e.g., tax incentive, business friendly).

Chart 4 - Malaysia DC Landscape



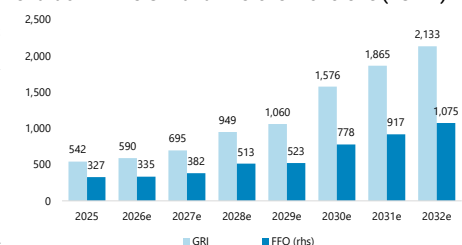
Source: Jefferies

Chart 5 - Data Center in Johor



Source: Jefferies

Chart 6 - MRL's GRI and FFO over 2025-32e (EURm)



Source: Company, Jefferies

Europe (Stephanie Dossmann)

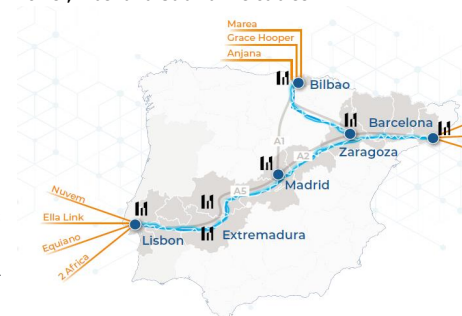
Merlin Properties (MRL SM; Buy; PT: €17) – We estimate DCs will account for 70% of the group's GRI by 2032 (vs. 6% in FY-25). We expect +15% FFOps CAGR over 2025-32E and +11% NTaps CAGR over 2025-32E. While MRL's valuation appears relatively pricey with a 7% discount to NTaps 26E and 26x P/FFO 26E, given the double-digit CAGR in both metrics, valuation multiples decline rapidly. At the current share price, the stock trades at a 23% discount to NTaps 28E and at 19.6x P/FFO 28E.

Strong demand remains intact while supply in Spain is limited – McKinsey estimates that European DC capacity demand should multiply by 3x over 2025-30 to more than 37 GW, of which almost two-thirds will be for advanced-AI workloads. On the other hand, the current pipeline of Spanish DCs supply for AI/hyperscaler needs will increase from 140MW in 2025 to 1.8GW in 2030. This includes only 884MW from MRL's main competitors and only 515MW restated from AmazonWS self-built capacity.

Spain is a sweet spot - While FLAP-D markets face generation and grid constraints, Spain benefits from abundant renewable energy resources and lower energy costs. In addition, the significant land access at lower costs is a competitive advantage. From an operational perspective, low latency is a challenge in Europe. However, Spain provides proximity to the data, thanks to extensive submarine cable connections (i) to North America from Bilbao, (ii) to Brazil from Lisbon, and (iii) to Africa from Barcelona. On top, Google is currently developing a new submarine cable "Sol" that will connect Florida to Lisbon.

Execution risks mostly managed - Out of the 730MW IT capacity on Phase I, II, and III, Merlin Properties has secured all the energy grants. As a reminder, in November 2025, MRL signed a contract with Solaria, securing 150MW IT capacity in Bilbao-Arasur. Additionally, in February 2026, it signed another contract with Solaria for 213MW energy, combining long-term photovoltaic energy (40 years) and battery energy storage (10 years), covering its planned DCs in Madrid of 322 MW IT capacity in the

Exhibit 35 - The Iberian Digital Diagonal: Connecting Power, Fiber and Submarine cables



Source: Merlin Properties, Jefferies

short-term pipeline. In Portugal, MRL has also secured the energy for its Lisbon 5-DC campus through agreements with EDP for long-term 100% photovoltaic renewable energy, and with the national grid REN.

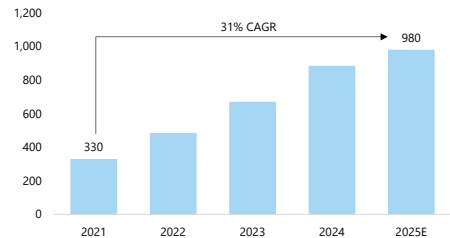
UK (Mike Prew, Sarim Chaudhry)

London is the leading European DC market, with all major hyperscalers establishing a presence since 2018. DC demand is set to grow 2.5x from 2025 to 2030, and the scarcity of sites with access to power is limiting the supply outlook, creating attractive pricing dynamics for developers. The UK does not have a pure-play DC REIT, with exposure mainly through Industrial and logistics FTSE 100 REITs SGRO (powered land & shell developer) and BBOX (development-led, power-first approach).

SGRO has two decades of data center experience, with the first lease signed in 2005 and operating 34 data centers, with 30 in Slough with established fibre optic and undersea cabling to the West of London appealing to US customers offshoring sensitive data. There is low planning risk, with a £51m pa rent and WAULT of 17 years. SGRO is poised to deliver 1.2GW of capacity over the next decade, with rental potential of £200m pa and development yields on cost 8-12%. The data center opportunities sit within urban warehouse (data centers make up 15% of headline rent currently for the portfolio), with an additional 24 potential sites (17 in Slough, 7 in Europe).

Demand is rising, driven by increasing data consumption targeting AI-driven demand from enterprise, co-locators, hyperscalers and ongoing cloud transition by businesses, and relies on the '3 Ps' of Proximity, Power and Planning.

Exhibit 36 - London public cloud take-up (MW)



Source: SGRO, Jefferies

Exhibit 37 - SGRO DC Capabilities

Characteristics	SEGRO's scope of activity			
	Powered land	Powered shell	Fully fitted	Operational
	Secure land	Secure planning	Fit out (MME, no racks/servers)	Operate and Maintain
Leasing approach	Secure power	Build shell	Pre-let	Speculative/pre-let
Ownership structure	N/A	Pre-let	Pre-let	N/A
Funding	Wholly-owned	Wholly-owned	50:50 joint venture	N/A
Potential customers/counterparty	Balance sheet funded	Balance sheet funded	Project finance within JV	N/A
SGRO's recent example	Co-locators and hyperscalers	Co-locators and hyperscalers	Hyperscalers	Single/multiple customers
	Sale of land to hyperscaler in Milan	Iron Mountain powered shell on Slough Trading Estate	Premier Park DC JV with Pure DC	N/A

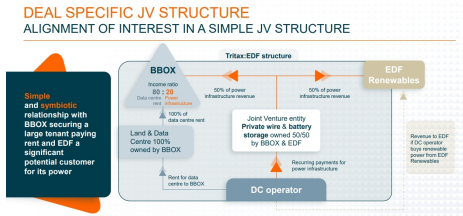
Fully fitted model can generate materially higher development profit for SEGRO on certain sites

Source: SGRO, Jefferies

BBOX launched a dedicated DC business last year, built around an innovative "power-first" model, reflecting the acute scarcity of deliverable grid connections in the UK. The Group identifies and secures power first, alongside grid connection agreements, before finalizing land acquisition and development, enabling materially faster delivery than conventional real estate-led approaches. DCs are positioned as a third core growth driver alongside logistics investment and development. The group has secured a pipeline exceeding 1GW of potential DC capacity, supported by first right of refusal arrangements over Tritax (BBOX manager) originated opportunities. Target yields across the DC programme are 9–11%, with medium-term annual capital deployment guided at £100m–£200m.

The flagship Manor Farm (9.3% Yield on cost), Heathrow, is a 74-acre site within the Slough Availability Zone, one of the UK's most supply-constrained DC markets. The site was acquired in January 2025 and (subject to planning with final decision by 9 June) is to be developed through a 50:50 JV with EDF Renewables, providing accelerated power delivery. Manor Farm has secured 107MW of power by 2H27, with a further 40MW scheduled for 2029, supported by utility-scale battery storage. The scheme is intended to be delivered as a pre-let powered shell data centre, with tenants responsible for fit-out, operation and maintenance. Upon stabilisation, Manor Farm is expected to contribute to an est £58m pa of rent across the two initial DC schemes. The BBOX has guided to a further planning decision which is expected in the near term regarding a second data centre site in Chelmsford.

Exhibit 38 - BBOX DC - JV structure



Source: Company data

Company Valuation/Risks

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(Article 3(1)e and Article 7 of MAR)

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Rayyan Matraji owns shares of Amazon.com common stock.

Steven DeSanctis owns shares of Amazon.com common shares.

Stephane Afonso holds an equity long position in Tritax Big Box REIT plc

Peter Abramowitz has an equity position in Equinix.

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Other Companies Mentioned in This Report

- ABB Ltd. (ABBN SW: CHF84.66, HOLD)
- Advanced Micro Devices, Inc. (AMD: \$523.20, BUY)
- Alibaba Group Holding Limited (9988 HK: HK\$123.50, BUY)
- Alibaba Group Holding Limited (BABA: \$125.95, BUY)
- Alliant Energy Corp. (LNT: \$71.39, BUY)
- Alphabet, Inc. (GOOGL: \$372.19, BUY)
- Amazon.com, Inc (AMZN: \$253.79, BUY)
- Ameren Corp (AEE: \$106.99, BUY)
- Amphenol Corp. (APH: \$146.77, BUY)
- Broadcom (AVGO: \$418.91, BUY)
- Carrier Global Corporation (CARR: \$68.54, BUY)
- Caterpillar (CAT: \$940.48, BUY)
- Cipher Digital Inc (CIFR: \$25.55, BUY)
- Core Scientific, Inc. (CORZ: \$27.91, BUY)
- CoreWeave, Inc (CRWV: \$108.03, BUY)
- Credo (CRDO: \$217.50, BUY)
- Cummins Inc. (CMI: \$678.10, BUY)
- DTE Energy Co (DTE: \$142.73, BUY)
- Digital Realty Trust, Inc. (DLR: \$188.70, BUY)
- Dominion Energy Inc (D: \$66.50, BUY)
- Duke Energy Corporation (DUK: \$121.82, HOLD)
- Eaton Corp. (ETN: \$418.61, BUY)
- Entergy Corporation (ETR: \$109.28, BUY)
- Equinix, Inc. (EQIX: \$1,089.15, BUY)
- Evergy Inc (EVRG: \$81.89, BUY)
- Forgent Power Solutions (FPS: \$64.59, BUY)
- GE Vernova Inc (GEV: \$963.33, BUY)
- Generac Holdings Inc. (GNRC: \$278.14, BUY)
- Hitachi (6501 JP: ¥5,166, BUY)

- Hut 8 Corp (HUT: \$127.76, BUY)
- Infratil Limited (IFT NZ: NZD15.24, BUY)
- Infratil Limited (IFT AU: AUD12.61, BUY)
- Iron Mountain Inc (IRM: \$130.25, BUY)
- Johnson Controls International plc (JCI: \$147.40, HOLD)
- Kodiak Gas Services, Inc (KGS: \$68.11, BUY)
- Legence Corp (LGN: \$88.90, BUY)
- MERLIN Properties SOCIMI, S.A. (MRL SM: €14.91, BUY)
- MYR Group Inc (MYRG: \$451.40, HOLD)
- Marvell Technology Group Ltd. (MRVL: \$316.43, BUY)
- MasTec, Inc. (MTZ: \$374.73, BUY)
- Megaport Limited (MP1 AU: AUD18.29, BUY)
- Meta Platforms, Inc. (META: \$627.57, BUY)
- Microsoft Corporation (MSFT: \$428.05, BUY)
- NVIDIA Corporation (NVDA: \$218.66, BUY)
- NextDC Limited (NXT AU: AUD16.35, BUY)
- NiSource Inc. (NI: \$45.85, BUY)
- Oracle Corporation (ORCL: \$230.33, BUY)
- PG&E Corporation (PCG: \$16.82, HOLD)
- PPL Corp. (PPL: \$35.16, BUY)
- Primoris Services Corp (PRIM: \$127.63, BUY)
- Prysmian SpA (PRY IM: €150.60, BUY)
- Quanta Services Inc. (PWR: \$719.17, BUY)
- Riot Platforms Inc (RIOT: \$27.47, HOLD)
- Rolls-Royce Holdings Plc (RR/ LN: p1,263.20, BUY)
- SEGRO (SGRO LN: p723.80, BUY)
- SOLV Energy (MWH: \$35.64, BUY)
- Schneider Electric (SU FP: €281.85, BUY)
- Siemens AG (SIE GR: €272.05, BUY)
- Siemens Energy AG (ENR GR: €159.48, BUY)
- Southern Company (SO: \$91.62, HOLD)
- Tencent Holdings Ltd. (700 HK: HK\$459.00, BUY)
- Terawulf Inc (WULF: \$26.19, BUY)
- Trane Technologies plc (TT: \$463.76, HOLD)
- Tritax Big Box REIT (BBOX LN: p147.60, BUY)
- VNET Group (VNET: \$9.71, BUY)
- Vertiv Holdings Co (VRT: \$323.92, HOLD)
- WEC Energy Group Inc (WEC: \$111.23, HOLD)
- WESCO International, Inc. (WCC: \$365.33, BUY)
- Weichai Power Co Ltd (000338 CH: CNY33.74, BUY)
- Weichai Power Co Ltd (2338 HK: HK\$40.68, BUY)
- Williams Cos Inc/The (WMB: \$72.43, BUY)
- Xcel Energy Inc (XEL: \$77.77, BUY)

Distribution of Ratings

	IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent
BUY	2204	62.19%	383	17.38%
HOLD	1177	33.21%	111	9.43%
UNDERPERFORM	163	4.60%	1	0.61%

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